Union Budget 2023-24 Analysis

Union Budget FY24 was a populous one focused on accelerating infra growth with 37.4% higher capital expenditure, without sacrificing fiscal deficit which is maintained at 5.9% for FY24.

No-news is good news was the case as far as Capital gains tax is concerned. The government made no-changes towards long-term or short-term capital gain taxes arising from capital markets.

Budget delivered on-all counts for the middle class with focus on increase in per-capita income.

Union Budget Highlights

Budget Estimates (Rs.Crs)	2023-2024
Total Expected Expenditure in 2023-24	**45,03,097**
Less : Revenue receipts through tax & non-tax revenue	26,32,281
Less : Capital Receipts excluding borrowings	84,000
Fiscal Deficit / Borrowings	**17,86,816**
Nominal GDP assuming 10.5% growth over last year	3,01,75,065
Fiscal Deficit as a % of GDP	**5.9%**

- **Expenditure:** The government proposes to spend Rs 45, 03, 097 crores in 2023-24 of which total capital expenditure is Rs.10, 00, 961 crores, which is an increase of 37.4% over the revised estimate of 2022-23.

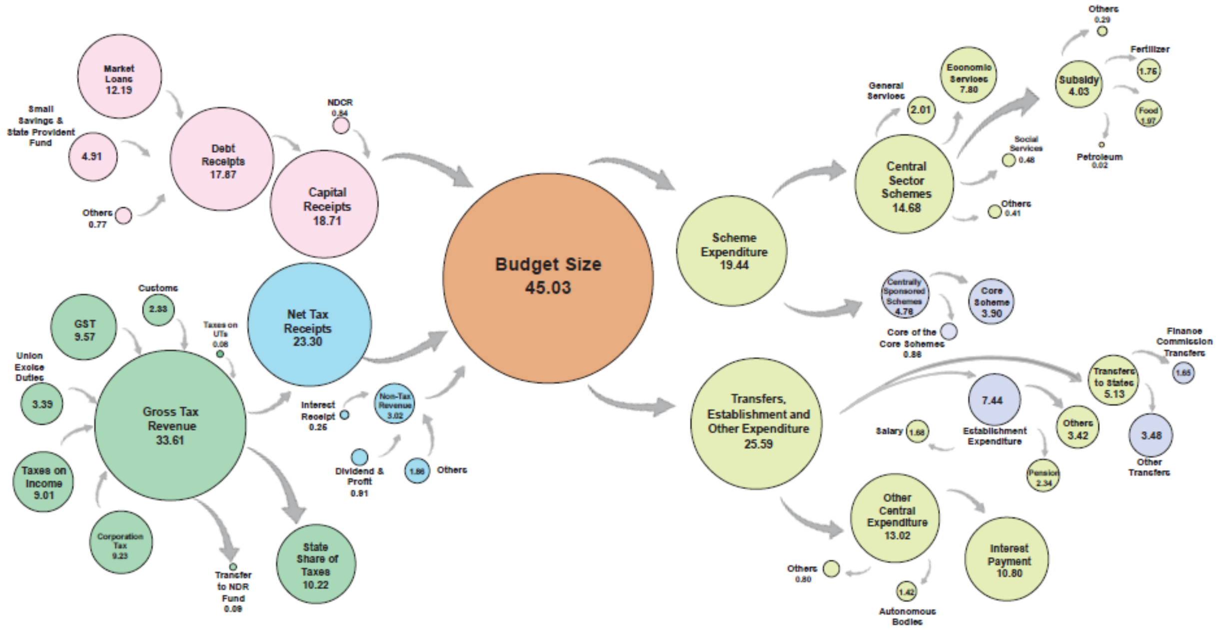
- **Receipts:** The receipts (other than borrowings) in 2023-24 are expected to be to Rs 27, 16, 281 crore, an increase of 12% over revised estimate of 2022-23.

- **GDP**: The government has estimated a nominal GDP growth rate of 10.5% in 2023-24 (i.e., real growth plus inflation).

- **Deficits:** Fiscal deficit in 2023-24 is targeted at 5.9% of GDP, lower than the revised estimate of 6.4% of GDP in 2022-23.

- **Ministry allocations:** Among the top ministries the highest allocation is observed in the Ministry of Defense (13%), Ministry of Road Transport & highways (6%) & Ministry of Railways (5%)

Budget Profile:



SECTORAL HIGHLIGHTS

ENERGY

- Budget allocation of Rs.19, 700 crores for green hydrogen.
- Custom duty exemption was announced for the manufacturing of lithium-ion batteries. Battery manufacturing companies will benefit from this.
- For energy transition, net zero objective, and energy security the government has provided Rs.35, 000 crores of capital investments.
- The government has allocated Rs.5, 331 crores (a 53% increase from 22-23) for the Solar power sector.

Positive:
Borosil Renewables, Thermax, Hitachi energy, Gujarat Flourochemicals

Infrastructure, Engineering & Capital Expenditure

- The government proposes to spend Rs 45, 03, 097 crores in 2023-24 of which total capital expenditure is Rs.10, 00, 961 crores, which is an increase of 37.4% over the revised estimate of 2022-23.

Positive:
Larsen & Toubro

HEALTHCARE

- The healthcare sector was allocated Rs.89, 155 crores (an increase of 13% over 22-23). 157 new nursing colleges are going to be established in co-location with the existing medical colleges.
- The government aims to eradicate sickle cell anemia by 2047, by screening 7 crore people in the 0-40 age group in tribal areas.

Positive:
Pfizer, KIMS, Shalby, HCG

TRAVEL & TOURISM

- 50 tourist destinations will be selected and developed as a complete package for domestic and international tourism.

Positive:
Indian Hotels, Lemon Tree

Railways

- A capital outlay of Rs 2.40 lakh crore has been provided for railways. This highest ever outlay is about 9 times the outlay made in 2013-14.
- Indian railways have been focusing on the rollout of 75 Vande Bharat trains by August 2023.
- Finance minister also announced Rs 75, 000 crore for 100 ‘critical transport infrastructure projects’ which in turn is likely to help the railways freight business.
- The railway ministry is also targeting 100% electrification of its network by 2023 and laying of at least 2, 000 km of new tracks.
- These funds will be spent on building tracks, wagons, trains, electrification and developing facilities at stations.

Positive:
IRCTC, Timken, SKF, Schaeffler, Siemens, RVNL, RITES, IRCON, Hitachi energy

Agriculture

- Agriculture credit target will be increased by 11 % to Rs 20 Lakh crore with primary focus on animal husbandry, dairy & Fisheries. This will pose as a significant benefit for agrochem and seed companies.
- To cut down on chemical fertilisers, the finance minister in her Budget speech said that over the next three years, the government will facilitate 10 million farmers to adopt natural farming. For this, 10, 000 bio-input resource centres will be set up, creating a national-level distributed micro-fertiliser and pesticide manufacturing network
- The government has allocated Rs 1.75 lakh crore for fertilizer subsidies.

Positive:
Sumitomo Chemicals India

Autos and EV's

- The budget removed custom duty on capital goods/machinery for manufacturing of lithium-ion cell for use in batteries of electrically operated vehicles (EVs).The move is said to help in reducing the cost of EVs in the country.
- An outlay of Rs 19, 700 crores, the National Green Hydrogen Mission will facilitate transition of the economy to low carbon intensity, reduce dependence on fossil fuel imports, and make the country assume technology and market leadership in this sunrise sector.
- FM minister also said that funds will be allocated for scrapping old vehicles of Central Government. States will also be supported in replacing old vehicles and ambulances.

Positive:
Tata Motors, Ashok Leyland, M&M, Maruti

FMCG

- Increase of National Calamity Contingent duty (NCCD) on cigarettes by 16%.

Positive:
ITC. As per our rough estimates revised excise duty to go up by only 2%.

Waste Management

- All cities & towns to be enabled for mechanical, machine-hole mode of desludging & desilting; without human involvement

Positive:
Antony Waste Handling Cell

New Tax Regime: Changes made in-order to encourage shift from old tax regime

- Rebate threshold increased to Rs.7 lacs from Rs.5 lacs earlier.
- No deduction u/s 80C or 80D
- **Tax slab:**
  a. 0-3 lakhs NIL
  b. 3-6 lakhs 5%
  c. 6-9 lakhs 10%
  d. 9-12 lakhs 15%
  e. 12-15 lakhs 20%
  f. Above 15 lakhs 30%

This will be the default tax regime for salaried and other individuals. One has an option to shift back to old regime as well.

Surcharge reduction

- Highest surcharge slab has been lowered from 37% to 25% (for income above Rs.2 crores)
- Maximum Tax Rate is now 39% v/s 42.7%
- The budget removed custom duty on capital goods/machinery for manufacturing of lithium-ion cell for use in batteries of electrically operated vehicles (EVs).

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